

4. ANALYZING STATEMENTS OF CASH FLOWS

CASH FLOW INTRODUCTION AND DIRECT METHOD CFO

Cash flows from operating activities <i>Cash flows resulting from major business of company</i>	
Inflows	Outflows
Cash received from customers	Cash paid to suppliers
Interest received	Interest paid
Dividend received	Cash expenses paid for ordinary business (salaries, taxes, advertising...)
Sale proceeds from trading securities	Acquisition of trading securities

Cash received from customers = current year sales + Δ unearned liability - Δ account receivables

Cash paid to suppliers = COGS + Δ Inventory - Δ accounts payable

COGS:

The storage costs for inventory awaiting shipment to customers are not costs of purchase, costs of conversion, or other costs incurred in bringing the inventories to their present location and condition and are not included in inventory. (Any cost after finished goods are not COGS)

Cash Expense =

Wages - Δ Payable +

(Taxes - Δ Tax Payable - Δ Deferred tax liability + Δ Deferred Tax Asset) +

interests expense - Δ interests Payable

unearned revenue = liability = cash received first but not yet recognized due to no performance or good delivered yet (ex membership)

sales do not include unearned revenue because revenue is recognized when the goods or services are sold or delivered, not when cash is received

Cash flow to suppliers doesn't directly reflect the exact cash you must pay suppliers in the current period but instead helps reconcile historical purchase costs with cash flows so changes of inventory is adjusted in formula to reflect historical cost

DTA vs DTL (asset vs liability)

DTA: paid tax upfront

DTL: owe more tax

Cash flows from investing activities <i>Cash flows resulting from acquisition and disposal of long-term asset and other investments</i>	
Inflows	Outflows
Sale proceeds from PP&E, intangible assets	Acquisition of PP&E, intangible assets
Sale proceeds from non-trading securities	Acquisition of non-trading securities
Principal received from loans made to others	Loans made to others

Carrying value of PP&E disposal = beginning Net PP&E + purchase of PP&E - end Net PP& E

Net PP&E = gross PP&E - depreciation

When an asset is disposed of, the carrying value is removed from the balance sheet and netted against proceeds received from the sale, and any difference is reported as an accounting gain or loss in the income statement.

Disposal Proceeds PP&E = Carrying Value of disposal + gain/loss of disposal

land is not depreciated, so the carrying value is its gross cost.

Carrying value of disposed land = beginning Net PP&E- end Net PP& E

Disposal Proceeds land - Carrying value of disposed land = gain/loss of land

CFI = All disposal proceeds (sales) + paid for acquisitions

Cash flows from financing activities
Cash flows resulting from transactions that affect firm's capital structure

Inflows	Outflows
Principal amounts of debt issued	Principal paid on debt
Proceeds from issuing shares	Payment to repurchase shares
	Dividends paid to shareholders

net principal flow = ending bonds payable – beginning bonds payable

net proceeds from buyback and issuance = ending contributed capital -
beginning contributed capital

dividends declared = beginning retained earnings + net income – ending
retained earnings

dividends paid = dividends declared - Δ dividend payable

CFF = Net Principal on bonds + net stock repurchase or issue - dividends paid

bonds payable = bonds issue = inflows

Contributed capital is the sum of common stock at par and additional paid-in

capital, and reflects the price at which the company issued shares = stock issue = inflow

Items	U.S. GAAP	IFRS
Interest received	CFO	CFO or CFI
Dividends received	CFO	CFO or CFI
Interest paid	CFO	CFO or CFF
Dividends paid	CFF	CFO or CFF
Taxes paid	CFO	CFO, CFI or CFF

Total Cash Flow = CFI + CFO + CFF

INDIRECT METHOD CFO

FCFF = CFO - Fixed Capital investment + int x (1-tax)

CFO = Net Income + Non Cash Charge x (1-tax) - Δ Working Capital

Net Income = Δ retain earnings - dividends paid

Noncash charges are gains and losses that have passed through the income statement but are not cash flows.

Add back: **write-down charge (IF using FIFO)**, Depreciation, Loss on asset disposal, amortization, or any loss that happened and is not from operation

Subtract back: Reversals of impairment and write downs, Gains on asset disposals

Δ working capital = current operating asset - current operating liability

operating assets. liabilities: receivable, prepaid, inventory/payable, unpaid, deferred
working capital = Non cash capital

if working capital >0 meaning more receivable, but net income include the receivable as asset already, so subtract it to get the actual CFO.

Cash Flow Ratios

$$\text{debt coverage} = \frac{CFO}{\text{total debt}}$$

$$\text{interest coverage} = \frac{CFO + \text{interest paid} + \text{tax paid}}{\text{interest paid}}$$

$$\text{reinvest ratio} = \frac{CFO}{\text{cash for long term assets}}$$

Questions

32.3 investing and financing cash flows and ifrs/u.s. gaap differences

Net income	\$45
Depreciation	75
Taxes paid	25
Interest paid	5
Dividends paid	10
Cash received from sale of company building	40
Issuance of preferred stock	35
Repurchase of common stock	30
Purchase of machinery	20
Issuance of bonds	50
Debt retired through issuance of common stock	45
Paid off long-term bank borrowings	15
Profit on sale of building	20

Cash flow from financing activities is:

ans:

Sale of preferred stock + issuance of bonds - principal payments on bank borrowings - repurchase of common stock - dividends paid = 35 + 50 - 15 - 30 - 10 = \$30

debt retired through issuance of common stock not included because it is not cash transaction

Which of the following would be least likely to cause a change in investing cash flow?

A. The sale of a division of the company.

- B. The purchase of new machinery.
- C. An increase in depreciation expense.

ans: C

Depreciation does not represent a cash low. To the extent that it affects the firm's taxes, an increase in depreciation changes CFO, but not CFI

Under U.S. GAAP, dividends received from investments are classified as:

ans: operating cash flow

under GAAP:

Dividend/ Interest Received = Put into Operation = CFO

Interest Pay = operation tax shield purpose = CFO

Dividend Pay = from issuing equity = CFF